T-12 OPERATING STATEMENT

Falcon Plaza | Columbus, OH

Property	Falcon Plaza
Period Ending	September 30, 2022
Basis	Accrual - Trailing 12 Months
Prepared By	Orion Commercial Management
Size	27,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	63,938	64,978	59,868	63,226	58,990	63,797	65,396	62,292	62,623	62,000	64,688	60,115	751,909
4010 Loss to Lease	26,048	25,208	24,887	24,660	27,782	24,759	25,471	26,024	26,367	25,775	24,850	26,343	308,175
4020 Vacancy Loss	53,341	57,499	54,832	52,778	52,530	53,634	54,507	56,540	59,170	54,046	56,492	53,779	659,148
4030 Concessions	32,033	33,545	32,836	33,057	34,258	31,376	34,032	33,818	33,860	34,606	34,989	31,159	399,570
4040 Bad Debt	17,380	16,370	16,942	16,432	16,921	16,381	18,512	17,745	18,229	17,351	17,471	17,398	207,131
4050 Late Fees	8,808	8,669	8,917	8,328	9,303	8,892	9,132	8,493	9,257	9,299	9,197	8,829	107,124
4060 Utility Reimbursements	39,944	40,215	40,320	41,961	43,925	42,345	40,345	42,991	41,511	41,450	42,298	43,205	500,511
4070 Parking Income	59,456	59,750	59,557	54,314	52,912	55,935	57,337	59,157	58,348	57,932	56,157	58,808	689,663
4080 Application Fees	24,801	26,757	24,726	23,779	24,138	27,286	25,455	26,963	25,301	26,611	26,177	26,348	308,341
4090 Pet Rent	2,918	2,837	2,914	2,816	3,121	2,813	3,074	3,078	2,950	2,910	3,048	3,178	35,656
4100 Laundry Income	30,427	29,460	31,663	33,005	32,947	30,285	30,663	32,933	30,710	30,329	32,502	30,121	375,046
4110 Cable/Internet Revenue	22,479	20,229	20,540	21,864	20,997	22,656	21,673	20,238	21,829	20,646	20,867	21,468	255,486
4120 CAM Reimbursements	21,856	22,481	23,043	23,583	23,307	24,394	23,450	23,482	23,057	23,077	22,473	21,333	275,535
4130 Tax Reimbursements	37,359	35,859	35,287	37,578	37,987	36,067	37,885	36,093	35,197	35,249	34,485	37,158	436,204
4140 Insurance Reimbursemen	20,743	21,106	19,611	21,711	19,281	21,840	21,824	20,023	21,270	21,142	19,364	20,873	248,789
4150 Percentage Rent	25,241	23,951	22,633	24,553	23,673	24,302	24,578	24,707	24,888	23,054	25,635	24,254	291,470
4160 Misc. Income	25,430	27,660	25,345	25,610	24,300	24,640	24,991	24,732	25,294	27,507	26,953	27,027	309,490
4170 Payroll - Management	860	858	861	914	839	894	859	875	884	836	867	914	10,462
4180 Payroll - Leasing	4,078	4,067	4,189	4,375	4,310	4,223	4,129	4,299	4,450	4,417	4,256	3,982	50,775
4190 Payroll - Maintenance	5,717	5,512	5,832	5,863	5,647	5,889	6,036	5,689	5,554	5,500	6,090	5,751	69,079
4200 Payroll Taxes & Benefits	1,644	1,586	1,475	1,558	1,601	1,576	1,674	1,594	1,660	1,539	1,673	1,593	19,173
4210 Repairs - Plumbing	2,369	2,405	2,295	2,307	2,355	2,399	2,270	2,532	2,392	2,489	2,357	2,312	28,481
4220 Repairs - HVAC	4,623	4,939	4,946	4,907	5,182	5,168	4,731	4,651	4,764	4,878	4,802	5,142	58,733
4230 Repairs - Electrical	4,532	4,662	4,953	5,055	5,053	4,511	4,611	4,765	4,758	4,621	4,838	5,049	57,409
4240 Repairs - Appliances	5,690	5,398	5,391	5,640	5,469	5,707	5,262	5,183	5,309	5,484	5,771	5,695	66,000
4250 Painting & Decorating	1,086	1,170	1,088	1,128	1,088	1,119	1,163	1,165	1,081	1,079	1,144	1,112	13,422
4260 Flooring	6,308	6,506	6,194	6,494	6,643	6,074	6,333	6,209	6,457	6,236	6,031	6,296	75,782

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	2,329	2,206	2,208	2,084	2,208	2,072	2,111	2,319	2,043	2,331	2,032	2,218	26,163
4470 Property Insurance	4,705	4,633	5,128	4,977	4,692	4,904	4,814	5,201	5,063	5,090	5,142	4,838	59,187
4480 Real Estate Taxes	3,927	4,485	4,483	4,102	4,215	4,023	4,005	4,442	4,285	4,291	4,374	4,067	50,700
4490 Asset Management Fee	5,594	5,834	5,994	5,405	6,044	5,381	5,526	5,373	5,876	5,977	6,031	5,872	68,906
4500 Replacement Reserves	879	926	829	847	887	865	826	925	888	879	924	818	10,492
4510 Roof Repairs	3,519	3,267	3,536	3,272	3,404	3,207	3,575	3,238	3,284	3,245	3,628	3,416	40,590
4520 Parking Lot Repairs	3,418	3,233	3,343	3,234	3,080	3,500	3,256	3,165	3,526	3,204	3,428	3,511	39,897
4530 Signage	2,798	2,702	2,658	2,533	2,660	2,725	2,640	2,649	2,723	2,557	2,816	2,675	32,136
4540 Tenant Improvements	1,287	1,357	1,296	1,358	1,232	1,286	1,263	1,258	1,386	1,232	1,241	1,251	15,446
4550 Leasing Commissions	6,668	6,484	6,913	6,550	7,296	7,371	7,090	7,251	7,134	7,012	6,911	7,312	83,992
4000 Gross Potential Rent	66,347	64,769	67,027	66,274	64,290	65,865	59,874	63,282	62,413	58,659	64,372	64,594	767,768
4010 Loss to Lease	21,723	21,516	21,563	22,197	20,135	20,684	21,448	21,980	20,479	22,250	21,507	22,691	258,174
4020 Vacancy Loss	21,165	23,073	21,738	23,072	21,082	23,018	23,066	20,816	23,397	21,584	22,928	20,757	265,695
4030 Concessions	10,567	9,969	10,957	10,705	10,198	10,863	10,784	10,671	10,897	10,656	10,358	10,432	127,059
4040 Bad Debt	37,409	39,404	37,505	37,456	39,628	39,150	38,949	37,358	37,664	38,105	42,231	38,671	463,532
4050 Late Fees	28,141	27,348	28,069	26,320	28,397	29,063	27,111	25,481	25,697	26,600	26,579	27,290	326,096
4060 Utility Reimbursements	21,630	21,018	20,882	20,038	21,938	19,790	21,412	21,454	20,871	20,389	21,139	22,138	252,700
4070 Parking Income	48,310	48,875	53,089	52,472	47,237	50,091	52,159	50,241	47,722	49,359	48,270	50,648	598,473
4080 Application Fees	23,354	23,296	23,624	22,787	22,771	23,942	23,310	24,762	23,167	23,826	24,200	22,282	281,322
4090 Pet Rent	6,949	6,708	6,795	6,813	6,307	6,805	6,791	6,374	6,191	6,157	6,256	6,216	78,364
4100 Laundry Income	8,091	8,187	7,898	7,337	7,765	7,635	8,052	7,284	7,608	7,486	7,752	7,594	92,690
4110 Cable/Internet Revenue	1,516	1,659	1,695	1,581	1,630	1,642	1,549	1,520	1,580	1,659	1,485	1,671	19,188
4120 CAM Reimbursements	10,482	10,561	10,375	11,247	10,202	10,353	10,018	11,445	10,831	10,281	10,713	11,288	127,797
4130 Tax Reimbursements	37,283	41,198	41,501	40,368	40,302	40,200	37,736	40,734	42,050	40,648	37,204	39,609	478,832
4140 Insurance Reimbursemen	18,945	19,042	18,459	19,713	18,094	19,359	17,759	19,634	17,595	18,873	18,700	17,950	224,122
4150 Percentage Rent	43,706	45,289	45,004	43,497	42,937	42,363	41,254	42,265	41,017	40,335	40,611	41,794	510,073
4160 Misc. Income	50,089	48,428	48,215	51,544	49,332	50,559	51,574	48,801	47,726	53,412	52,529	49,915	602,125
4170 Payroll - Management	7,866	6,907	7,157	7,045	7,574	7,190	7,486	7,050	7,293	7,433	7,185	7,594	87,781
4180 Payroll - Leasing	3,851	3,729	3,778	4,024	3,950	3,996	3,723	3,786	3,732	3,628	3,738	3,821	45,757
4190 Payroll - Maintenance	5,209	4,755	4,958	5,250	4,954	5,074	5,031	5,010	4,641	5,157	4,610	4,921	59,570
4200 Payroll Taxes & Benefits	6,540	6,845	6,719	7,112	6,513	6,438	6,573	6,420	6,880	6,439	7,085	6,856	80,421
4210 Repairs - Plumbing	2,176	2,239	2,131	2,278	2,341	2,179	2,236	2,269	2,423	2,345	2,284	2,341	27,240
4220 Repairs - HVAC	5,656	5,448	6,055	5,464	5,569	6,029	5,429	5,447	5,619	5,566	5,350	5,577	67,208
4230 Repairs - Electrical	3,298	3,056	3,165	3,426	3,375	3,178	3,378	3,215	3,369	3,316	3,316	3,309	39,402
4240 Repairs - Appliances	5,829	6,041	5,886	6,274	5,855	6,366	6,095	6,191	5,620	5,597	5,760	5,862	71,377
4250 Painting & Decorating	5,131	5,349	5,362	4,827	5,376	5,295	5,502	5,196	4,986	5,321	5,144	5,195	62,684
4260 Flooring	2,783	2,634	2,544	2,848	2,532	2,603	2,563	2,854	2,587	2,797	2,763	2,547	32,055
4270 Make-Ready / Turnover	4,545	4,203	4,581	4,539	4,236	4,520	4,639	4,393	4,407	4,493	4,317	4,502	53,374
4280 Landscaping Contract	5,150	4,892	4,845	5,030	4,564	4,927	4,640	4,737	5,020	4,850	5,015	5,199	58,870
4290 Snow Removal	7,590	7,138	7,897	7,995	7,414	7,778	7,320	7,098	7,538	7,385	7,511	7,771	90,437
4300 Janitorial	8,005	7,108	7,538	7,999	7,714	7,899	8,036	7,968	7,658	7,451	7,747	7,739	92,862
4310 Pest Control	3,886	4,036	3,788	3,844	3,949	3,924	3,915	3,785	3,811	3,936	3,752	3,606	46,230
4320 Trash Removal	824	827	784	739	758	833	809	789	806	747	827	826	9,569
4330 Elevator Contract	5,135	5,545	5,468	5,613	5,193	5,076	5,161	4,971	5,398	5,268	5,276	5,466	63,570
4340 Fire & Life Safety	5,078	4,840	4,985	5,243	4,869	4,707	4,858	4,933	4,610	4,910	4,642	5,052	58,726
4350 Security	999	1,026	1,049	1,075	1,128	1,055	1,128	1,027	1,101	1,029	992	1,121	12,730

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Financial Analysis

The building features a renovated lobby, structured parking at a ratio of 11 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $461,000, representing a 9.7% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Operating expenses totaled $309,000 or approximately 33.02 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 6 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $39,000, representing a 10.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Debt service coverage ratio was 6.47x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 16 hours. Weighted average lease term remaining is 6 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The building features a renovated lobby, structured parking at a ratio of 11 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 47 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 12 years and in-place rents average $35 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Operating expenses totaled $389,000 or approximately 13.97 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts.

Effective gross income for the trailing period was $104,000, representing a 12.4% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Operating expenses totaled $213,000 or approximately 47.89 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 6 years and in-place rents average $35 per square foot, full service gross.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 12 hours. The building features a renovated lobby, structured parking at a ratio of 3 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Service requests are tracked through a work-order system with an average completion time of 34 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day.

Income and Expense Review

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4380 Water & Sewer	2,516	2,669	2,447	2,452	2,576	2,695	2,687	2,587	2,680	2,494	2,718	2,478	31,000
4390 Telephone/Internet	811	782	808	784	783	775	770	879	808	847	843	860	9,750
4400 Advertising	1,603	1,748	1,756	1,625	1,772	1,610	1,574	1,740	1,737	1,681	1,560	1,605	20,012
4410 Resident Events	1,039	1,009	974	1,110	1,111	1,066	1,008	1,004	996	1,046	1,100	1,001	12,464
4420 Office Supplies	2,280	2,182	2,247	2,165	2,189	2,114	2,370	2,245	2,392	2,144	2,255	2,162	26,744
4430 Legal & Professional	2,681	2,623	2,636	2,704	2,900	2,948	2,889	2,722	2,686	2,785	2,728	2,901	33,203
4440 Accounting & Audit	7,140	6,527	6,976	6,551	7,163	7,072	6,828	7,214	6,700	6,459	6,341	7,132	82,103
4450 Licenses & Permits	2,133	2,025	2,026	2,167	2,163	2,139	2,122	2,144	1,901	2,090	2,067	2,123	25,100
4460 Management Fee	4,675	4,616	4,486	4,773	4,201	4,304	4,303	4,203	4,618	4,660	4,644	4,816	54,299
4470 Property Insurance	6,467	6,685	7,023	6,633	6,691	6,382	6,643	6,447	6,218	6,794	6,758	6,417	79,160
4480 Real Estate Taxes	4,748	4,620	5,197	4,881	5,084	4,879	4,713	4,622	4,552	5,028	5,154	4,648	58,124
4490 Asset Management Fee	1,969	1,914	1,944	1,973	1,865	1,938	1,765	1,920	1,813	1,833	1,898	1,931	22,764
4500 Replacement Reserves	2,624	2,436	2,647	2,406	2,433	2,495	2,648	2,381	2,376	2,486	2,590	2,699	30,223
4510 Roof Repairs	5,279	5,081	5,687	5,588	5,282	5,198	5,211	5,003	5,273	5,201	5,082	5,160	63,046
4520 Parking Lot Repairs	5,053	5,171	4,811	4,856	5,071	4,951	5,015	5,036	4,943	5,016	4,613	4,720	59,257
4530 Signage	2,019	2,062	1,870	2,036	1,900	1,877	2,069	1,895	2,063	1,902	1,859	2,077	23,630
4540 Tenant Improvements	2,647	2,490	2,533	2,689	2,738	2,775	2,648	2,632	2,545	2,580	2,431	2,726	31,434
4550 Leasing Commissions	4,583	4,528	5,074	4,890	4,685	4,438	4,738	4,444	4,823	4,534	4,779	4,744	56,261
4000 Gross Potential Rent	59,020	62,487	59,045	58,861	64,182	64,106	67,440	64,402	58,800	59,834	61,237	66,381	745,794
4010 Loss to Lease	15,455	15,742	15,653	17,437	16,815	16,815	15,419	15,776	17,632	16,680	16,470	17,324	197,218
4020 Vacancy Loss	52,130	57,167	51,529	57,459	56,462	54,177	52,560	52,075	50,887	56,112	52,552	52,860	645,970
4030 Concessions	52,464	56,947	54,411	50,062	50,333	53,550	51,699	52,006	56,929	53,145	55,493	56,583	643,621
4040 Bad Debt	7,766	7,023	6,943	7,861	7,390	7,009	7,426	7,592	7,933	7,808	7,291	7,828	89,868
4050 Late Fees	37,345	38,001	36,755	37,249	39,847	36,345	36,990	38,275	36,477	38,427	39,185	38,555	453,451
4060 Utility Reimbursements	50,569	47,399	45,959	49,058	50,001	44,403	50,655	49,136	47,154	46,614	47,269	45,979	574,197
4070 Parking Income	36,202	34,215	33,289	33,432	32,311	35,857	34,750	36,627	34,109	36,446	34,034	32,661	413,933
4080 Application Fees	40,215	45,628	42,289	40,257	40,750	39,930	44,001	40,638	42,285	41,998	44,119	41,642	503,752
4090 Pet Rent	32,513	31,379	32,641	31,366	30,692	28,558	29,538	28,476	32,387	31,044	30,425	32,277	371,295
4100 Laundry Income	2,738	2,571	2,695	2,810	2,651	2,755	2,769	2,692	2,611	2,689	2,482	2,509	31,972
4110 Cable/Internet Revenue	45,091	46,498	47,877	45,220	43,998	45,545	45,234	43,322	47,908	46,144	44,898	47,540	549,276
4120 CAM Reimbursements	25,508	25,421	25,257	25,518	25,662	25,640	27,719	28,199	25,554	27,034	25,839	28,053	315,404
4130 Tax Reimbursements	17,106	15,852	17,255	16,188	17,964	16,319	15,729	17,600	17,163	16,142	17,538	16,832	201,688
4140 Insurance Reimbursemen	20,056	19,046	20,754	21,206	19,252	21,366	19,390	19,220	19,924	20,452	19,147	20,727	240,540
4150 Percentage Rent	55,751	59,134	58,551	59,314	56,933	59,127	55,664	56,370	57,554	56,173	53,651	59,427	687,648
4160 Misc. Income	51,867	57,960	54,281	54,343	56,221	54,526	52,329	58,594	53,928	54,828	53,957	58,864	661,698
4170 Payroll - Management	7,268	7,368	7,040	6,548	6,917	6,806	6,532	7,182	6,454	6,563	7,066	7,348	83,091
4180 Payroll - Leasing	3,622	4,026	3,636	3,753	3,666	4,086	3,923	3,693	3,777	3,674	3,678	3,771	45,306
4190 Payroll - Maintenance	3,280	3,479	3,535	3,100	3,195	3,523	3,402	3,195	3,430	3,121	3,537	3,149	39,947
4200 Payroll Taxes & Benefits	6,357	6,506	6,074	6,614	6,251	6,160	6,036	6,100	6,146	6,512	5,986	6,023	74,766
4210 Repairs - Plumbing	4,478	4,536	4,818	4,249	4,767	4,359	4,688	4,552	4,239	4,502	4,477	4,661	54,326
4220 Repairs - HVAC	2,524	2,466	2,259	2,323	2,235	2,278	2,495	2,333	2,374	2,209	2,249	2,260	28,005
4230 Repairs - Electrical	2,921	2,700	2,818	2,945	2,793	2,799	2,884	3,002	2,912	2,662	2,800	2,953	34,188
4240 Repairs - Appliances	3,540	3,878	3,765	3,444	3,884	3,787	3,547	3,873	3,545	3,744	3,491	3,784	44,283
4250 Painting & Decorating	3,927	3,735	3,516	3,895	3,501	3,694	3,824	3,672	3,748	3,805	3,674	3,462	44,453
4260 Flooring	5,104	5,237	5,291	5,492	4,949	5,480	5,201	5,442	4,829	4,932	5,410	5,498	62,866
4270 Make-Ready / Turnover	5,126	5,139	4,832	4,569	4,771	4,978	4,770	4,610	4,697	4,567	4,976	4,766	57,801
4280 Landscaping Contract	1,773	1,772	1,888	1,843	1,930	1,873	1,771	1,845	1,788	1,987	1,768	2,029	22,267

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Income and Expense Review

Effective gross income for the trailing period was $314,000, representing a 4.9% increase over the prior year. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 6.06% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $54,000, representing a 2.5% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 6 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.17x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 15 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Collections for the period were 88.8% of billed charges, with bad debt of 4.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center.

Financial Analysis

Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $174,000, representing a 7.2% increase over the prior year. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Service requests are tracked through a work-order system with an average completion time of 24 hours. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 38 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Valuation Discussion

Effective gross income for the trailing period was $241,000, representing a 13.1% increase over the prior year. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	5,443	5,653	5,675	5,816	5,890	5,946	5,981	6,096	5,675	5,788	5,882	5,947	69,790
4300 Janitorial	1,511	1,672	1,711	1,673	1,722	1,684	1,680	1,541	1,553	1,547	1,712	1,729	19,736
4310 Pest Control	1,176	1,101	1,045	1,067	1,045	1,039	1,085	1,147	1,140	1,114	1,147	1,070	13,177
4320 Trash Removal	5,281	5,382	5,192	4,901	5,197	5,069	5,138	5,195	5,264	5,309	4,993	5,417	62,338
4330 Elevator Contract	5,941	5,674	5,834	5,501	6,173	5,650	5,622	5,492	5,975	6,150	5,817	5,675	69,504
4340 Fire & Life Safety	2,214	2,214	2,030	2,096	2,104	2,153	2,075	2,222	2,103	2,116	2,053	2,212	25,592
4350 Security	670	678	761	705	711	742	742	725	753	723	683	735	8,629
4360 Electricity - Common	2,194	2,227	2,461	2,366	2,194	2,323	2,391	2,209	2,459	2,510	2,276	2,340	27,950
4370 Gas - Common	7,268	7,134	6,738	7,376	7,058	6,911	7,737	7,166	7,661	7,558	7,213	7,716	87,537
4380 Water & Sewer	3,848	4,259	4,012	4,071	4,046	3,819	3,914	4,128	4,001	3,874	3,853	4,163	47,988
4390 Telephone/Internet	6,615	7,002	6,864	7,231	6,830	6,748	6,557	6,954	7,319	7,351	6,491	6,522	82,483
4400 Advertising	4,327	4,069	4,194	4,294	4,385	4,250	4,327	4,374	4,230	4,402	4,019	4,188	51,061
4410 Resident Events	1,527	1,482	1,448	1,401	1,480	1,437	1,460	1,398	1,454	1,462	1,431	1,476	17,455
4420 Office Supplies	780	697	702	730	769	705	767	704	721	765	774	714	8,827
4430 Legal & Professional	1,882	1,912	1,809	1,940	1,921	1,823	1,845	1,729	1,965	1,961	1,946	1,731	22,464
4440 Accounting & Audit	3,185	3,486	3,266	3,236	3,553	3,359	3,349	3,309	3,595	3,333	3,367	3,569	40,606
4450 Licenses & Permits	6,335	6,721	6,630	6,858	7,026	6,330	6,712	6,542	6,453	6,347	6,754	6,349	79,056
4460 Management Fee	4,281	4,339	3,983	4,174	3,994	4,048	3,785	3,925	3,930	4,226	4,081	4,320	49,086
4470 Property Insurance	6,280	6,348	6,570	6,849	6,485	6,906	6,449	6,338	6,699	6,526	6,409	6,807	78,667
4480 Real Estate Taxes	4,318	4,030	4,296	3,910	4,363	4,096	3,932	4,395	4,200	3,932	4,013	4,250	49,735
4490 Asset Management Fee	1,087	1,084	1,117	1,150	1,225	1,226	1,117	1,197	1,209	1,093	1,084	1,151	13,740
4500 Replacement Reserves	7,102	6,924	7,030	7,186	7,091	7,379	6,933	6,976	7,365	7,371	7,007	6,914	85,276
4510 Roof Repairs	6,384	6,983	7,192	6,386	7,009	7,184	6,999	6,592	6,877	7,290	6,622	7,083	82,602
4520 Parking Lot Repairs	5,455	5,475	6,050	5,978	5,604	6,155	5,679	6,113	5,520	5,641	6,128	5,666	69,463
4530 Signage	3,571	3,621	3,580	4,010	3,765	3,837	3,903	3,991	3,891	3,880	3,979	3,799	45,829
4540 Tenant Improvements	2,241	2,227	2,052	2,136	2,283	2,315	2,242	2,106	2,172	2,091	2,210	2,298	26,373
4550 Leasing Commissions	7,212	7,015	7,206	7,514	7,788	7,611	7,465	7,059	7,477	7,231	7,595	7,234	88,407
4000 Gross Potential Rent	58,735	59,409	62,359	66,752	66,279	62,639	64,046	65,403	58,909	66,592	64,062	65,794	760,979
4010 Loss to Lease	50,166	52,334	49,405	49,481	54,804	50,634	50,087	53,486	49,481	49,426	53,801	50,916	614,020
4020 Vacancy Loss	19,221	20,799	20,577	19,252	20,453	20,228	19,956	21,054	21,589	21,402	19,825	21,828	246,184
4030 Concessions	12,938	12,339	13,265	12,980	12,606	12,581	12,404	13,281	13,561	12,612	12,643	12,481	153,690
4040 Bad Debt	14,865	14,984	14,872	13,620	15,005	14,882	14,493	15,525	14,106	14,379	13,652	13,957	174,341
4050 Late Fees	2,034	2,196	2,293	2,127	2,125	2,029	2,239	2,196	2,118	2,099	2,191	2,196	25,842
4060 Utility Reimbursements	16,895	17,423	17,484	15,717	16,046	17,097	16,884	15,667	16,480	16,687	15,458	16,530	198,369
4070 Parking Income	13,363	13,337	13,416	11,873	12,721	12,947	13,454	12,868	13,102	13,576	12,935	12,771	156,363
4080 Application Fees	48,640	50,448	49,601	47,462	46,812	46,633	51,221	46,325	45,136	47,180	49,122	46,157	574,736
4090 Pet Rent	53,239	58,200	53,757	56,931	54,421	56,642	51,705	52,604	56,161	55,557	51,739	51,546	652,503
4100 Laundry Income	27,335	28,846	28,344	25,467	25,359	27,840	26,662	27,573	28,907	27,252	26,089	28,475	328,148
4110 Cable/Internet Revenue	54,595	53,453	53,136	54,510	58,668	59,230	55,157	59,558	54,681	56,495	54,188	55,572	669,242
4120 CAM Reimbursements	12,881	12,371	13,177	13,118	12,406	12,105	12,836	12,434	13,377	12,119	12,215	12,548	151,587
4130 Tax Reimbursements	20,391	19,079	20,540	19,690	18,456	19,175	19,288	20,394	18,830	20,569	20,942	20,172	237,527
4140 Insurance Reimbursemen	24,658	25,527	24,691	23,179	24,037	24,311	24,142	23,651	25,620	26,136	25,602	24,847	296,402
4150 Percentage Rent	31,411	30,652	34,302	34,879	30,900	31,081	34,011	32,871	32,456	34,005	33,667	32,797	393,032
4160 Misc. Income	28,089	27,540	26,294	27,463	28,127	27,210	27,875	28,470	25,619	25,188	27,601	28,506	327,980
4170 Payroll - Management	7,568	7,668	7,560	7,745	7,306	7,084	7,752	7,887	7,303	7,266	7,763	7,463	90,365
4180 Payroll - Leasing	7,148	7,497	7,498	7,567	7,353	7,224	7,960	7,991	7,950	7,139	7,977	7,290	90,595
4190 Payroll - Maintenance	3,654	3,640	3,545	3,699	3,646	3,908	3,830	3,582	3,549	3,838	3,647	3,925	44,463

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Valuation Discussion

Debt service coverage ratio was 5.35x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $185,000, representing a 11.7% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The going-in capitalization rate of 6.43% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $293,000, representing a 9.1% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.51x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Collections for the period were 95.9% of billed charges, with bad debt of 4.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day.

The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Collections for the period were 93.0% of billed charges, with bad debt of 7.0% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 26 hours.

Operating Performance

Debt service coverage ratio was 6.21x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 47 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $13,000, representing a 4.3% increase over the prior year. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Operating expenses totaled $111,000 or approximately 44.61 per square foot, with real estate taxes representing the largest line item.

The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 6.64x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 4 years and in-place rents average $35 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 32 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. Service requests are tracked through a work-order system with an average completion time of 9 hours.

Valuation Discussion

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	5,544	5,647	5,832	5,222	5,147	5,735	5,841	5,509	5,669	5,901	5,258	5,671	66,975
4130 Tax Reimbursements	44,848	42,703	43,592	43,839	40,793	43,030	44,736	41,136	40,430	40,500	42,019	42,068	509,694
4140 Insurance Reimbursemen	49,643	47,800	46,785	49,313	51,105	48,747	46,909	46,550	50,478	46,878	46,206	49,068	579,483
4150 Percentage Rent	2,307	2,243	2,331	2,256	2,371	2,310	2,222	2,434	2,199	2,264	2,342	2,380	27,660
4160 Misc. Income	10,832	10,282	10,276	11,349	11,202	10,069	10,667	10,287	11,372	11,052	10,632	10,304	128,325
4170 Payroll - Management	3,510	3,679	3,509	3,489	3,409	3,407	3,427	3,406	3,598	3,616	3,463	3,328	41,839
4180 Payroll - Leasing	4,507	4,815	5,021	5,046	4,508	4,781	4,648	4,653	4,521	4,746	4,785	5,010	57,042
4190 Payroll - Maintenance	1,296	1,321	1,229	1,170	1,174	1,201	1,178	1,177	1,171	1,221	1,304	1,189	14,631
4200 Payroll Taxes & Benefits	1,537	1,551	1,490	1,465	1,528	1,443	1,431	1,594	1,601	1,422	1,515	1,463	18,039
4210 Repairs - Plumbing	4,528	4,987	4,670	4,675	4,878	4,772	4,965	4,531	4,454	4,437	4,989	4,399	56,284
4220 Repairs - HVAC	2,845	2,876	2,815	3,062	2,778	2,800	2,847	2,967	2,964	2,842	2,824	2,904	34,523
4230 Repairs - Electrical	4,077	3,746	4,071	4,170	4,223	4,093	3,731	3,882	4,129	3,832	3,883	4,009	47,847
4240 Repairs - Appliances	4,326	4,351	3,972	4,217	4,327	4,180	4,429	4,084	4,245	3,996	4,208	4,241	50,577
4250 Painting & Decorating	6,145	6,185	5,799	6,406	6,062	6,212	5,929	5,630	5,922	6,247	5,729	6,043	72,308
4260 Flooring	6,900	6,963	6,696	6,171	6,981	6,384	6,602	6,746	6,994	6,806	6,132	6,508	79,882
4270 Make-Ready / Turnover	4,071	4,450	4,240	4,002	4,050	4,135	4,255	3,995	4,200	3,987	4,033	4,437	49,853
4280 Landscaping Contract	4,796	4,830	4,641	5,000	4,528	5,039	4,706	4,462	4,513	4,984	4,762	4,464	56,725
4290 Snow Removal	6,296	6,375	6,897	7,004	6,599	7,022	6,408	6,757	6,708	6,521	7,010	6,236	79,832
4300 Janitorial	6,935	6,394	6,839	6,795	6,778	6,962	6,917	6,797	6,629	6,779	6,375	6,892	81,094
4310 Pest Control	2,003	2,006	2,020	1,916	1,951	1,859	1,905	1,881	1,916	1,785	1,796	1,909	22,946
4320 Trash Removal	912	954	969	964	1,046	934	1,022	961	1,012	1,039	958	1,042	11,813
4330 Elevator Contract	3,240	3,478	3,574	3,411	3,492	3,334	3,410	3,534	3,557	3,643	3,410	3,257	41,341
4340 Fire & Life Safety	3,058	3,070	3,179	3,045	3,084	3,063	3,154	3,129	3,328	3,125	3,110	2,951	37,295
4350 Security	1,617	1,575	1,520	1,509	1,499	1,591	1,501	1,639	1,500	1,577	1,453	1,490	18,472
4360 Electricity - Common	3,165	3,143	3,344	3,147	3,182	3,251	3,065	3,437	3,129	3,331	3,214	3,082	38,490
4370 Gas - Common	5,483	5,162	5,700	5,149	5,696	5,807	5,395	5,155	5,171	5,104	5,182	5,237	64,241
4380 Water & Sewer	3,804	4,005	4,135	4,138	4,028	3,923	3,729	3,923	4,090	3,960	3,978	3,781	47,494
4390 Telephone/Internet	5,042	5,532	5,661	5,248	5,302	5,175	5,559	5,392	5,261	5,425	5,568	5,687	64,852
4400 Advertising	5,956	6,567	5,799	6,536	6,133	6,349	6,287	5,999	6,303	6,273	6,194	6,365	74,762
4410 Resident Events	1,953	1,977	1,844	1,910	1,844	1,819	1,815	1,916	2,015	1,821	1,901	1,810	22,625
4420 Office Supplies	3,262	3,234	3,193	3,047	3,188	3,131	2,993	2,979	3,066	3,097	3,062	2,963	37,216
4430 Legal & Professional	2,803	2,780	2,586	2,737	2,662	2,592	2,689	2,930	2,625	2,930	2,603	2,792	32,729
4440 Accounting & Audit	4,098	4,197	4,298	4,232	4,484	4,367	4,382	4,478	4,219	4,164	4,086	4,517	51,522
4450 Licenses & Permits	824	858	838	820	860	847	764	826	854	853	830	788	9,961
4460 Management Fee	7,386	6,795	7,597	6,692	7,066	7,245	7,387	7,121	6,866	6,830	6,693	7,255	84,934
4470 Property Insurance	1,021	988	1,100	1,040	1,095	1,067	996	1,049	1,100	1,087	1,077	1,004	12,624
4480 Real Estate Taxes	3,460	3,670	3,479	3,534	3,610	3,489	3,622	3,782	3,642	3,654	3,691	3,951	43,584
4490 Asset Management Fee	1,021	971	1,000	979	1,020	1,072	976	1,022	1,025	1,046	1,017	967	12,116
4500 Replacement Reserves	6,310	6,762	6,873	6,445	6,320	6,272	6,725	6,654	6,513	6,210	6,362	6,754	78,199
4510 Roof Repairs	6,556	6,636	6,290	6,653	6,215	6,064	6,297	6,280	5,944	6,529	6,491	6,215	76,170
4520 Parking Lot Repairs	1,806	1,856	1,759	1,770	1,853	1,929	1,931	2,002	1,824	1,921	1,942	1,917	22,508
4530 Signage	7,421	7,124	7,921	7,479	7,117	7,205	7,584	7,266	7,568	7,415	7,853	7,052	89,006
4540 Tenant Improvements	1,330	1,446	1,410	1,405	1,442	1,434	1,329	1,424	1,368	1,326	1,376	1,515	16,805
4550 Leasing Commissions	3,742	3,717	3,680	3,820	3,404	3,808	3,765	3,618	3,648	3,621	3,496	3,688	44,005
4000 Gross Potential Rent	62,627	65,325	64,567	60,634	60,392	61,577	64,064	60,337	59,672	63,340	63,029	65,243	750,807

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $213,000, representing a 13.0% increase over the prior year.

Effective gross income for the trailing period was $447,000, representing a 6.0% increase over the prior year. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Operating expenses totaled $391,000 or approximately 37.32 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.39x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 94.0% of billed charges, with bad debt of 3.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross.

Weighted average lease term remaining is 9 years and in-place rents average $35 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center.

Operating Performance

Operating expenses totaled $147,000 or approximately 40.92 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period.

Effective gross income for the trailing period was $65,000, representing a 2.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The going-in capitalization rate of 7.48% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses.

Property Operations

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 3 years and in-place rents average $35 per square foot, full service gross. Service requests are tracked through a work-order system with an average completion time of 10 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4010 Loss to Lease	40,013	36,770	40,045	38,108	41,125	37,257	40,603	36,522	41,098	37,984	40,215	41,211	470,951
4020 Vacancy Loss	13,115	13,653	14,086	13,076	13,555	13,555	13,129	13,532	13,578	13,267	13,087	13,355	160,988
4030 Concessions	29,504	29,158	29,545	29,767	32,035	28,932	32,128	29,730	28,290	28,604	31,989	29,363	359,045
4040 Bad Debt	8,848	8,234	8,309	8,251	8,412	8,366	8,599	8,553	7,934	8,244	8,086	7,954	99,789
4050 Late Fees	5,629	5,907	5,864	5,611	6,028	5,806	5,632	5,625	5,872	5,607	5,775	5,873	69,227
4060 Utility Reimbursements	26,040	25,347	26,637	26,168	26,257	24,666	24,816	27,201	24,840	27,231	26,214	26,314	311,731
4070 Parking Income	14,041	14,983	13,211	14,612	14,853	13,497	14,871	13,807	14,879	14,292	14,535	13,365	170,946
4080 Application Fees	22,806	22,340	22,737	23,453	24,458	24,563	22,877	23,945	23,412	24,094	22,643	22,065	279,392
4090 Pet Rent	6,118	6,442	6,357	6,337	6,077	5,673	5,862	6,465	6,088	5,680	6,169	6,154	73,424
4100 Laundry Income	21,629	20,346	21,653	21,348	20,531	20,865	21,328	21,835	21,861	20,199	21,841	20,077	253,513
4110 Cable/Internet Revenue	15,325	14,753	15,254	16,002	15,187	14,621	14,081	15,412	14,874	14,049	16,046	15,016	180,620
4120 CAM Reimbursements	2,648	2,783	2,517	2,592	2,722	2,460	2,589	2,700	2,585	2,683	2,726	2,767	31,770
4130 Tax Reimbursements	48,561	49,565	52,321	53,511	50,684	52,966	50,497	53,262	53,776	53,399	53,059	48,852	620,455
4140 Insurance Reimbursemen	28,584	30,652	28,927	29,094	30,607	28,009	29,020	30,113	27,994	28,333	27,978	28,938	348,249
4150 Percentage Rent	20,793	19,156	19,849	18,305	20,241	19,386	20,273	19,233	20,583	18,223	20,506	20,415	236,962
4160 Misc. Income	49,173	49,663	50,790	48,644	46,875	47,324	49,288	50,431	48,556	48,966	53,845	51,991	595,545
4170 Payroll - Management	2,213	2,198	2,227	2,176	2,226	2,079	2,059	2,199	2,091	2,131	2,139	2,101	25,839
4180 Payroll - Leasing	4,445	4,317	4,295	4,105	4,472	4,228	4,208	4,207	4,317	4,346	4,096	4,275	51,310
4190 Payroll - Maintenance	4,935	5,081	5,085	4,929	4,870	4,798	5,139	5,394	5,114	5,317	5,121	4,944	60,726
4200 Payroll Taxes & Benefits	1,987	2,028	1,910	2,084	2,078	2,044	2,072	2,012	2,123	2,067	1,950	1,937	24,293
4210 Repairs - Plumbing	3,558	3,384	3,539	3,460	3,298	3,536	3,475	3,238	3,185	3,539	3,392	3,569	41,175
4220 Repairs - HVAC	4,445	4,921	5,005	4,706	4,658	4,882	4,890	4,444	4,557	4,811	4,651	4,770	56,742
4230 Repairs - Electrical	6,996	6,511	6,310	7,150	6,866	6,435	6,935	7,144	7,004	6,950	6,757	6,894	81,952
4240 Repairs - Appliances	6,501	6,598	7,073	7,137	6,759	6,511	7,113	6,900	7,412	6,645	7,308	6,816	82,774
4250 Painting & Decorating	1,060	1,152	1,040	1,124	1,025	1,081	1,158	1,125	1,157	1,129	1,030	1,141	13,224
4260 Flooring	1,460	1,362	1,410	1,361	1,432	1,438	1,418	1,462	1,443	1,426	1,425	1,334	16,971
4270 Make-Ready / Turnover	1,942	2,153	2,137	1,972	2,115	2,147	2,196	2,168	2,099	2,047	2,131	2,096	25,204
4280 Landscaping Contract	3,315	2,924	3,081	3,080	3,266	3,258	3,251	3,184	3,047	3,087	2,906	3,279	37,678
4290 Snow Removal	2,817	2,961	2,988	2,967	2,829	2,845	3,070	3,131	3,105	2,865	2,926	2,976	35,479
4300 Janitorial	2,997	2,961	2,961	2,977	2,894	3,151	2,832	3,147	2,938	2,998	2,923	2,948	35,727
4310 Pest Control	4,838	4,839	4,962	5,079	4,787	5,031	4,591	4,765	5,033	4,679	4,941	4,483	58,030
4320 Trash Removal	5,013	5,422	5,491	4,866	4,895	5,432	4,913	5,007	5,012	4,938	5,247	5,296	61,531
4330 Elevator Contract	6,049	6,032	5,863	5,713	6,064	5,664	5,669	5,519	5,511	5,768	5,585	5,465	68,902
4340 Fire & Life Safety	7,502	7,617	6,948	7,281	7,058	7,165	7,805	7,351	6,970	6,957	7,004	7,263	86,921
4350 Security	6,669	7,057	7,235	7,131	7,587	6,678	7,091	7,164	6,719	7,215	7,521	6,830	84,897
4360 Electricity - Common	6,738	7,365	6,726	6,841	7,107	7,048	7,525	6,905	7,040	7,193	7,065	7,438	84,993
4370 Gas - Common	2,390	2,604	2,665	2,462	2,608	2,512	2,462	2,598	2,357	2,537	2,684	2,571	30,451
4380 Water & Sewer	4,070	4,144	4,319	4,014	4,298	4,449	4,287	4,232	4,240	4,061	4,302	4,198	50,615
4390 Telephone/Internet	6,494	6,082	6,710	6,058	6,703	6,513	6,076	6,328	6,275	5,937	6,248	6,027	75,453
4400 Advertising	6,309	5,949	6,483	6,526	6,508	6,111	6,277	6,236	5,971	6,591	6,307	6,527	75,795
4410 Resident Events	5,704	5,287	5,357	6,032	5,644	5,530	5,412	5,471	5,975	5,281	5,529	5,407	66,629
4420 Office Supplies	3,085	2,783	2,742	2,734	2,751	2,747	2,970	3,068	2,929	2,786	2,918	2,782	34,294
4430 Legal & Professional	6,350	5,867	5,929	6,450	6,107	6,209	6,336	6,023	6,211	6,405	6,313	6,319	74,518
4440 Accounting & Audit	6,394	6,374	7,230	7,285	7,108	6,760	6,513	6,797	6,831	6,911	6,834	6,770	81,807
4450 Licenses & Permits	6,050	5,704	5,747	5,985	5,893	5,783	6,274	6,417	6,165	6,064	5,858	6,345	72,285

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Financial Analysis

Operating expenses totaled $167,000 or approximately 43.61 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Effective gross income for the trailing period was $441,000, representing a 8.0% increase over the prior year. Debt service coverage ratio was 5.62x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $214,000 or approximately 41.27 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Collections for the period were 93.6% of billed charges, with bad debt of 3.2% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 15 hours. Floor plates are efficient and column-spacing supports open and private-office layouts.

The building features a renovated lobby, structured parking at a ratio of 8 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 9 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Weighted average lease term remaining is 6 years and in-place rents average $35 per square foot, full service gross.

Financial Analysis

The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $320,000, representing a 3.2% increase over the prior year. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross.

The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $432,000, representing a 3.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 5 years and in-place rents average $35 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Management Commentary

The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 21 hours. Collections for the period were 95.4% of billed charges, with bad debt of 5.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 5 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4400 Advertising	5,349	5,590	5,322	4,898	5,027	5,184	5,594	5,465	5,004	5,246	5,480	5,300	63,459
4410 Resident Events	1,468	1,397	1,510	1,368	1,519	1,494	1,485	1,451	1,514	1,394	1,504	1,483	17,587
4420 Office Supplies	4,743	4,567	5,093	5,043	4,664	4,539	4,457	4,549	4,601	4,451	5,084	4,778	56,571
4430 Legal & Professional	5,507	5,142	5,670	5,536	4,999	5,069	5,171	5,493	5,507	5,664	5,338	5,597	64,691
4440 Accounting & Audit	5,099	5,074	5,166	5,727	5,336	5,468	5,414	5,139	5,669	5,240	5,051	5,137	63,521
4450 Licenses & Permits	7,397	6,992	7,573	7,801	7,130	7,930	7,582	7,829	7,036	7,263	7,520	7,547	89,599
4460 Management Fee	7,269	6,991	6,813	6,546	6,760	7,010	7,386	7,125	7,082	6,982	6,749	6,874	83,586
4470 Property Insurance	3,834	3,729	4,244	3,912	4,110	4,015	4,041	4,001	3,715	3,863	3,853	3,902	47,219
4480 Real Estate Taxes	6,038	6,595	6,482	6,461	6,188	6,361	6,671	6,273	6,228	6,069	5,908	6,059	75,333
4490 Asset Management Fee	1,683	1,890	1,838	1,717	1,819	1,809	1,687	1,748	1,705	1,874	1,835	1,852	21,458
4500 Replacement Reserves	3,719	3,638	3,717	3,789	3,780	4,020	3,578	3,787	3,770	3,824	3,944	3,885	45,452
4510 Roof Repairs	3,403	3,461	3,459	3,497	3,759	3,670	3,797	3,661	3,802	3,761	3,736	3,793	43,799
4520 Parking Lot Repairs	1,650	1,666	1,665	1,572	1,633	1,602	1,610	1,667	1,479	1,638	1,574	1,577	19,331
4530 Signage	2,067	2,080	1,909	2,049	2,127	2,112	1,975	2,051	2,151	2,152	2,089	2,000	24,762
4540 Tenant Improvements	1,637	1,578	1,468	1,438	1,580	1,592	1,489	1,441	1,461	1,598	1,429	1,486	18,196
4550 Leasing Commissions	2,373	2,500	2,443	2,517	2,333	2,482	2,438	2,387	2,594	2,522	2,445	2,460	29,493
4000 Gross Potential Rent	59,904	66,064	59,454	61,989	62,631	58,660	61,332	60,113	64,545	66,902	64,748	60,627	746,970
4010 Loss to Lease	37,776	36,138	36,245	36,726	38,227	40,112	39,401	40,295	36,628	38,642	37,871	36,374	454,435
4020 Vacancy Loss	38,859	37,981	37,096	39,326	37,482	38,017	36,136	36,518	36,020	38,314	41,173	41,097	458,019
4030 Concessions	23,137	23,897	23,283	23,286	21,440	24,251	23,699	21,824	23,927	24,291	22,405	23,045	278,484
4040 Bad Debt	22,570	21,093	22,738	22,832	20,826	21,731	20,296	20,923	21,517	21,147	20,829	21,003	257,504
4050 Late Fees	54,203	52,660	49,911	53,115	51,642	52,938	50,910	52,406	54,679	52,032	54,750	52,436	631,682
4060 Utility Reimbursements	10,832	10,697	9,936	10,069	10,399	10,832	9,801	10,314	9,911	9,563	10,660	10,024	123,039
4070 Parking Income	51,949	57,854	54,151	57,990	57,579	51,588	56,447	55,887	57,773	53,889	52,113	53,411	660,630
4080 Application Fees	8,127	7,475	8,291	7,555	8,456	7,767	8,290	7,496	8,145	7,562	8,388	7,588	95,140
4090 Pet Rent	41,495	42,176	37,519	39,601	39,976	40,438	40,466	41,433	38,921	42,264	39,849	41,026	485,163
4100 Laundry Income	25,598	24,831	25,974	24,839	23,589	25,608	26,127	24,841	24,512	24,326	25,192	24,514	299,952
4110 Cable/Internet Revenue	37,027	36,236	37,193	40,755	40,927	40,883	36,117	36,101	40,332	37,430	36,628	39,572	459,199
4120 CAM Reimbursements	30,914	28,480	29,755	30,102	31,323	31,091	31,991	31,981	28,981	30,696	28,466	30,978	364,759
4130 Tax Reimbursements	46,705	45,787	47,382	46,748	48,766	49,489	50,758	49,711	45,900	49,866	44,554	49,592	575,257
4140 Insurance Reimbursemen	36,207	31,915	33,326	31,617	35,246	31,939	31,728	36,089	36,097	34,518	32,035	35,049	405,767
4150 Percentage Rent	3,019	2,832	3,078	2,998	3,145	2,926	3,186	3,103	3,230	3,204	3,113	3,073	36,907
4160 Misc. Income	22,806	25,998	22,669	25,799	24,851	25,945	25,385	23,444	24,993	25,989	25,707	23,492	297,077
4170 Payroll - Management	6,985	6,619	6,365	6,295	6,926	6,495	6,470	6,843	6,553	6,490	6,888	6,249	79,177
4180 Payroll - Leasing	6,294	5,837	6,300	5,995	6,403	5,913	5,843	5,945	6,541	5,747	6,014	6,205	73,037
4190 Payroll - Maintenance	5,180	4,905	5,278	4,603	4,673	5,258	5,066	5,240	4,903	4,847	5,259	4,634	59,845
4200 Payroll Taxes & Benefits	2,394	2,236	2,157	2,294	2,345	2,405	2,344	2,288	2,165	2,398	2,215	2,192	27,432
4210 Repairs - Plumbing	706	726	770	749	762	730	731	710	770	734	714	772	8,875
4220 Repairs - HVAC	2,575	2,632	2,468	2,648	2,488	2,467	2,775	2,588	2,784	2,518	2,730	2,723	31,397
4230 Repairs - Electrical	3,170	2,977	2,896	2,922	2,980	2,853	2,840	2,828	3,090	3,050	3,079	3,173	35,856
4240 Repairs - Appliances	5,035	5,533	5,335	5,602	5,114	5,487	5,315	5,098	5,154	5,478	5,205	4,885	63,240
4250 Painting & Decorating	2,263	2,377	2,384	2,153	2,218	2,345	2,250	2,399	2,203	2,251	2,153	2,239	27,233
4260 Flooring	6,765	6,120	5,944	6,062	6,247	6,105	6,422	6,737	6,252	6,444	6,234	6,717	76,051
4270 Make-Ready / Turnover	4,441	4,128	4,379	3,977	3,870	4,346	4,075	4,130	4,246	4,422	4,121	4,159	50,295

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Financial Analysis

Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. The going-in capitalization rate of 5.18% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 29 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 5.17x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Collections for the period were 93.6% of billed charges, with bad debt of 7.3% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members.

Service requests are tracked through a work-order system with an average completion time of 32 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 9 years and in-place rents average $35 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center.

Financial Analysis

The going-in capitalization rate of 5.51% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The going-in capitalization rate of 6.58% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.60x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

Property Operations

The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 96.7% of billed charges, with bad debt of 6.0% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 93.1% of billed charges, with bad debt of 6.3% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 39 hours.

Operating Performance

The going-in capitalization rate of 6.63% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Effective gross income for the trailing period was $47,000, representing a 2.6% increase over the prior year. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

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